Generative AI's Act Two

From Technology Hammer to Real Value

Compute

6 decades

Training data

4 decades

Distribution

2 decades

Sequoia Capital analysis (September 2023)

Source: sequoiacap.com/article/generative-ai-act-two/

Six Decades of Technological Progress Converged to Enable Generative AI

Three waves accumulated: compute, training data, distribution

6 decades

Moore's Law → compute horsepower

Delivered the compute needed to process exaflops of data.

4 decades

The internet → training data

Produced trillions of tokens of training data (accelerated by COVID).

2 decades

Mobile + cloud → distribution

Put a supercomputer in every human's palm.

Generative AI

GenAI Startups Surpassed $1B Revenue Faster Than SaaS Ever Did

>$1B startup revenue in months (vs. years for SaaS)

>$1B

startup revenue milestone

Reached in months (SaaS: years)

Commercial traction is real — but many AI apps still lack stickiness and durable advantage.

ChatGPT

- Fastest-growing application in history
- Strong PMF among students and developers

Midjourney

- Hundreds of millions in revenue
- Team size: 11 employees

Character.ai

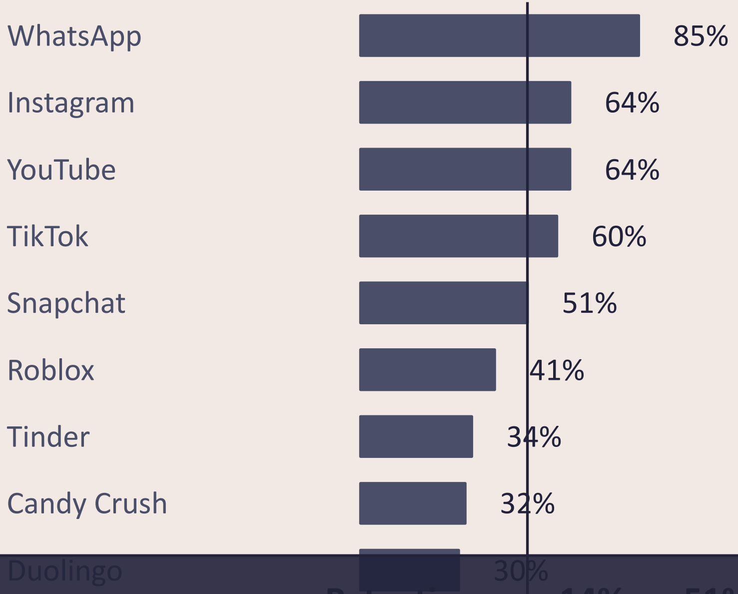
- Entertainment + companionship
- Avg. 2 hours per session

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention: incumbents set the engagement bar

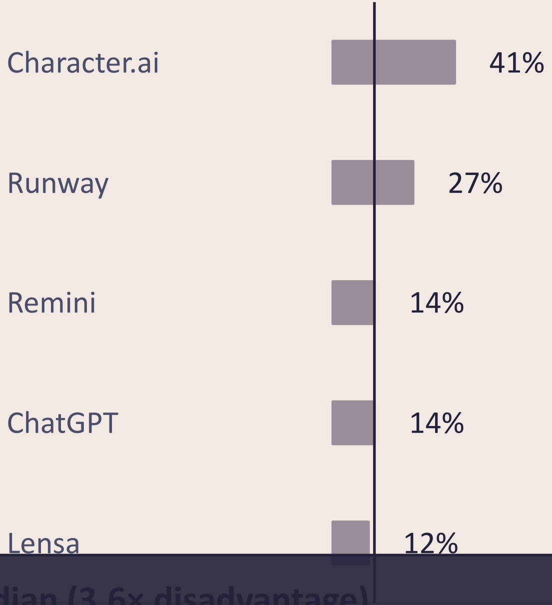
Incumbents

Median: 51%



AI-First Companies

Median: 14%



Retention gap: 14% vs. 51% median (3.6× disadvantage)

YouTube Leads Incumbents at 85% Monthly Active Usage

Incumbent monthly active usage median: 63%

Monthly active usage (incumbents)

Median: 63%

Context: Incumbent consumer apps sustain 48–85% monthly usage — a high bar for AI-first products.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

The product shift: foundation models move from whole product → component

Act 1: Technology-Out

- Foundation models as the entire solution
- Novelty demos and thin wrappers
- Technology hammer looking for nails
- Poor retention / low stickiness

Act 2: Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces → stickier workflows
- Often multi-modal
- End-to-end problem solving

Act 2 exemplars

Harvey • Glean • Character • Ava

Implication: winners build workflow-integrated products, not model wrappers.

Market Map Reorganized by Use Case, Not Model Modality

As apps become multi-modal, the organizing unit becomes the job-to-be-done

Act 1 framing

Organized by model modality

- Text
- Image
- Code

Act 2 framing

Organized by use case

- **Harvey** — Legal workflows
- **Glean** — Enterprise search
- **Character + Ava** — Companionship

Reorg mirrors the shift from technology hammer → real value delivery.

Key Takeaways: What Separates Winners in Act Two

Actionable implications for builders + investors

01 **Retention is the critical challenge**

AI-first apps: 14% median retention vs. 51% for incumbents.

02 **Models are a component, not the product**

Act 2 builds comprehensive solutions around foundation models.

03 **Multi-modal + workflow integration wins**

New editing interfaces and end-to-end problem solving create stickiness.

04 **Demand is real despite hype cycles**

GenAI startups exceeded $1B in revenue faster than SaaS.

05 **Bet on end-to-end human problems**

Winners look like Harvey, Glean, Character, Ava: use case driven.

Act 2 is where durable advantage gets built.